

# Personal Financial Management

(an open elective 2024)

## Module 2

## **Investment:**

- ☐ Investing Basics and Evaluating Bonds,
- ☐ Investing in Stocks
- ☐ Investing in Mutual Funds

## What is an Investment Plan?

An investment plan is like a roadmap for your financial journey.

It helps you decide why, where to invest, and how much to invest so that you can achieve your financial goals.

These goals can be buying a or rent a house or car, children's education or marriage or retirement planning.

## **What is an Investment Plan?**

There are multiple high return investment options in India, such as equity, mutual funds, fixed deposits, bonds, etc. So, it is mandatory to analyze the pros and cons of these investments and select the one that best fits your requirements while making an investment plan.

An investment plan should be tailored to your objectives and risk tolerance. Making an investment plan is not a one-time process, you should regularly revisit and adjust your investment.

## **Types of Investment Options in India**

Investment types in India can be classified into high, low, and medium-risk options based on the level of risk and potential returns.

## Types of Investment Options in India

Let's understand each type of investment in detail:

### **Low-risk investments:**

Low-risk investments are those types of investments that possess a very minimal level of risk, or zero level of risk. They offer stable returns, which are typically the guaranteed return on the investment. These types of investments are suitable for risk-averse investors looking to earn guaranteed returns. Some examples of low-risk investments are Fixed deposits, Public Provident Fund, Sukanya Samridhi Yojana, etc.

## Types of Investment Options in India

### **Medium-risk investments:**

Medium-risk investments are those types of investments that are slightly riskier than low-risk investments. These investments seek to produce decent returns while assuming a moderate level of risk. They are appropriate for investors seeking a portfolio that balances growth and stability. Some examples of medium-risk investments are Debt funds, Corporate Bonds, Government Bonds, etc.

## Types of Investment Options in India

### **High-risk investments:**

High-risk investments are generally market-linked investments that carry higher levels of risk. These types of investments seek to give higher returns in future, that too with significant volatility and uncertainty. They are suitable for investors willing to take higher risks and want to earn a return from market fluctuations. Some examples of high-risk investments are stocks, mutual funds, Unit Linked Insurance Plans, etc.



## **Investment Options For Long-Term**

Long-term goals are the ones that you want to achieve in the next 7-10 years. It includes volatile investment options that can deliver high returns over the long term. Here are some of the best investments for the long term in India:

## Investment Options For Long-Term- Direct Equity

- One of the best ways to create wealth for your long-term goals is to [invest in equities](#). There are many examples of stocks that have multiplied investors' wealth over time.

## Investment Options For Long-Term- Direct Equity

- **Availability:** To invest in direct equity, you must have a demat account. You can open a demat account with any broker and start investing.
- **Investment Amount:** There is no minimum or maximum limit on the investment.
- **Maturity:** Direct equity has no lock-in; hence, you can redeem it anytime.
- **Taxation & Benefits:** Investments made in direct equity are not eligible for tax deductions.  
Short-term capital gains are taxed at 20%. Long-term capital gains up to Rs 1.25 lakh are tax-exempt; however, gains above Rs 1.25 lakh are taxed at 12.5%.
- **Risk Level:** High risk
- **Who Can Invest:** Anyone looking to earn market-linked return can invest in direct equity.  
But it involves higher risk, and you need expertise to in stock selection.
- **Returns Offered:** It offers a market-linked return. You can earn returns in the form of dividends and capital appreciation.

## Investment Options For Long-Term- Equity Mutual Funds

Equity [Mutual Funds](#) primarily invest in stocks. But they don't concentrate your money on just 1 or 2 stocks. These funds diversify your investments across multiple stocks. More importantly, professional fund managers run these funds. So they invest your money only after adequate research. As a result, it increases your chances of earning good returns over the long term.

## Investment Options For Long-Term- Equity Mutual Funds

- Availability:** You can invest in equity mutual funds.
- Investment Amount:** There is no limit on the investment amount. You can start with as low as Rs 100.
- Maturity:** There is no mandatory lock in for the equity mutual funds as you can redeem it anytime. However, in the case of ELSS (Equity Linked Saving Schemes), you can redeem it only after three years.
- Taxation & Benefits:** Equity mutual funds are not eligible for tax deduction. However, if you have [invested in ELSS](#), then you can claim a tax deduction up to Rs 1.5 lakh per financial year. Capital gains earned on equity funds are taxable. STCG (Short term capital gains) will be taxed at 20%, and LTCG (Long term capital gains) will be taxed at 12.5% if it is above Rs 1.25 lakh.
- Risk Level:** High Risk
- Who Can Invest:** Anyone who wants to earn a market-linked return on their investment can invest in the equity mutual fund.
- Returns Offered:** You earn a market-linked return. Here are some popular Equity Funds categories and their long-term performance.

## **Investment Options For Long-Term- NPS**

The National Pension System (NPS) is a long-term retirement-focused investment product. It mixes assets like equities, government, and corporate bonds. You can decide how much of your money can be invested in different asset classes based on your risk appetite.

## Investment Options For Long-Term- NPS

- Availability:** You can [invest in NPS](#) through the ET Money app or website. We are India's largest POP for the NPS.
- Investment Amount:** In a [NPS Tier 1 account](#), you must make a minimum investment of Rs 1,000 annually to keep your NPS account active; however, there is no upper limit. However, in the case of Tier 2 accounts, there is no limit on minimum and maximum amounts.
- Maturity:** Mature when you reach 60 years of age. At maturity, you can only withdraw 60% of your total corpus. And for the remaining 40%, you will have to buy an annuity plan.

## Investment Options For Long-Term- NPS

•**Taxation & Benefits:** Here are some [tax benefits of NPS](#):

- You can claim a deduction up to Rs 1.5 lakh under Section 80CCD(1) and an additional deduction of Rs 50,000 under [Section 80CCD\(1B\)](#).
- If your employer also contributes to your NPS, then you can also claim a deduction under Section 80CCD(2) upto 10% of your basic salary.
- These deductions are only available in the Tier 1 accounts; however, there is no deduction in the Tier 2 account.

•**Risk Level:** Medium risk

•**Who Can Invest:** Any individual between 18-70 years of age is [eligible to invest in NPS](#). It is specifically suitable for investors who want to save for retirement.

•**Returns Offered:** Offers market-linked returns.



## Investment Options For Long-Term- ULIPs

A [Unit-Linked Insurance Plan](#) (ULIP) combines life insurance and investment. A part of your premium is invested in asset classes like equity and bonds to generate wealth over the long term. Another part of your premium goes towards a life insurance cover.

## Investment Options For Long-Term- ULIPs

- Availability:** You can invest in ULIPs through any life insurance company.
- Investment Amount:** The investment amount varies from company to company. Typically, the minimum investment is Rs 1,500 per month.
- Maturity:** They mature in 5 years.
- Taxation & Benefits:** Investments made in the ULIPs are eligible for tax deduction under Section 80C up to Rs 1.5 lakh.
- Risk Level:** Medium to high
- Who Can Invest:** Suitable for the investor looking to earn a market-linked return as well as insurance coverage.
- Returns Offered:** Offers market-linked returns.

## **Investment Options For Long-Term- Real Estate**

It is certainly one of the most popular investment options among Indians. Nevertheless, while property investments have delivered stunning returns in the past, it has its own set of risks and limitations.

One of the major risks with real estate is that you may be unable to liquidate it quickly. And in a rush to sell the property, you may have to sell at a deep discount.

## Investment Options For Long-Term- Real Estate

- Availability:** You can invest in real estate through various options, such as buying a residential property or commercial property or [investing via REITs](#).
- Investment Amount:** There is no such minimum and maximum investment amount. You can invest any amount as per your budget. You have to invest a hefty amount in real estate.
- Maturity:** They do not have fixed maturity dates; you can remain invested for the duration that you want.
- Taxation & Benefits:** Rental income earned through real estate is taxable as per the income slab. But it also offers tax benefits such as interest on mortgage loans, property taxes, etc. Additionally, long-term capital gains from real estate can have favourable tax treatment.
- Risk Level:** Medium to high level
- Who Can Invest:** Suitable for the investor looking for regular rental income, capital appreciation and diversification in the portfolio.
- Returns Offered:** Real estate investments have the potential for profits through property appreciation and rental income. Returns can vary depending on property location and market trends.

## **Investment Options For Long-Term- Public Provident Fund (PPF)**

[PPF](#) is a government-guaranteed scheme offering a guaranteed interest rate. It is the most popular long-term saving option scheme for retirement purposes; however, it can also be used for other purposes.

## **Investment Options For Long-Term-Public Provident Fund (PPF)**

- **Investment Amount:** The minimum investment amount starts at Rs 500, and the maximum investment is up to Rs 1.5 lakh per financial year.
- **Maturity:** It matures in 15 years but can be extended further in blocks of 5 years with or without contributions.
- **Taxation & Benefits:** Investments made in PPF are eligible for deduction under Section 80C up to Rs 1.5 lakh. It comes under the EEE (Exempt-Exempt-Exempt) category, which means investment made, interest earned, and maturity proceeds are tax-exempt.
- **Risk Level:** Zero risk investment
- **Who Can Invest:** Suitable for investors looking to accumulate a substantial corpus for the future at a guaranteed return.
- **Returns Offered:** Offers guaranteed return of 7.1% per annum (For quarter June-September 2023).

## Investment Options For Long-Term- Senior Citizens Savings Scheme (SCSS)

Senior Citizens Savings Scheme is the post office saving exclusively for senior citizens. The main objective of this scheme is to provide regular income to senior citizens after retirement.

- Availability:** You can invest in this scheme through any post office or any nationalised bank.
  - Investment Amount:** Minimum investment amount starts at Rs 1,000 and maximum upto Rs 30 lakh.
  - Maturity:** SCSS matures in 5 years, but you can also extend it for 3 more years.
  - Taxation & Benefits:** Eligible for tax deduction under Section 80C up to Rs 1.5 lakh. However, interest earned is taxable as per your income tax slab.
  - Risk Level:** Contains zero risk.
  - Who Can Invest:** Senior citizens who want to have a regular income stream in their retirement years.
- Returns Offered:** Offers guaranteed returns of 8.2% per annum, paid quarterly on 1st April, 1st July, 1st October and 1st January.

## Investment Options For Long-Term- Sukanya Samriddhi Account (SSA)

[Sukanya Samriddhi Account](#) is a government backed saving scheme which offers you a guaranteed return on your investment. This scheme was launched under the initiative of Beti Bachao Beti Padhao Abhiyan, with the objective of promoting girl child welfare and education.

- Availability:** At any post office or any nationalized bank branch.
- Investment Amount:** Minimum Investment is Rs 250, and maximum investment amount is Rs 1.5 lakh per financial year.
- Maturity:** The scheme matures when the girl child turns 21 years old or on marriage after 18 years of age.
- Taxation & Benefits:** Eligible for deduction of Rs 1.5 lakh under Section 80C. It comes under the EEE category, which means investment made, interest earned, and maturity amount are tax-exempt.
- Risk Level:** Zero risk
- Who Can Invest:** Suitable for investors looking to save for the girl child, her education or marriage.
- Returns Offered:** Offers guaranteed return of 8.% per annum. Revised by the government on a quarterly basis.



## Investment Options For Long-Term- Kisan Vikas Patra (KVP)

Kisan Vikas Patra is another small saving scheme backed by the government of India that offers a guaranteed return on your investments. This scheme aims to promote long-term investing, specifically in rural areas. Here are some of the features of this scheme:

- Availability:** You can invest in KVP through a post office or any nationalized bank.
- Investment Amount:** You can start with a minimum investment of Rs 1,000, and there is no upper limit for the maximum investment amount.
- Maturity:** Mature when your investment amount doubles. The government declares the maturity period as per the updated interest rate.
- Taxation & Benefits:** Not eligible for tax deduction under Section 80C. Interest earned is taxable as per your income tax slab.
- Risk Level:** Zero risk investment.
- Who Can Invest:** Investor looking to earn safe and guaranteed returns.
- Returns Offered:** Offers guaranteed return of 7.5 % compounded annually as of June 2023.

## Investment Options For Long-Term- Sovereign Gold Bonds (SGBs)

Sovereign Gold Bonds are issued by the Reserve Bank of India (RBI) on a regular basis. It is an alternative to physical gold investment. Although the returns are linked to the price of gold and guaranteed by the Government of India, no physical gold is held as an underlying asset.

- Availability:** You can invest in SGBs through leading public and private sector banks.
- Investment Amount:** The minimum investment amount is the price of one gram of gold. However, you can deposit a maximum up to price of 4kg gold per financial year. For trusts, it is a price of 20kg gold.
- Maturity:** You will receive the maturity proceeds after 8 years from the investment date.
- Taxation & Benefits:** The maturity amount received after 8 years is completely tax-exempt. However, interest earned on the SGBs is taxable as per the slab rates.
- Risk Level:** Low to medium
- Who Can Invest:** Investors seeking safe and government-backed guaranteed returns. Also, suitable for investors looking to diversify their portfolio by gold.
- Returns Offered:** It gives you the benefit of capital appreciation, and you earn regular interest of 2.5% semi-annually.

## **Investment Options For Long-Term- Government Bonds**

These are the debt securities that are issued by the government of India to raise funds for various purposes such as infrastructure development, financial budget deficits, etc. It is considered the safest investment option, as the government backs it.

## Investment Options For Long-Term- Government Bonds

- Availability:** You can invest in government bonds in the primary auction through banks, primary dealers, stock exchanges, etc. After this, you can also invest through secondary markets such as debt funds, [Gilt funds](#), stock exchanges, etc.
- Investment Amount:** You can invest with a minimum amount of Rs 1,000, and there is no limit on the maximum amount.
- Maturity:** There is no specific maturity period for government bonds, as it varies with the type of bond. For example, treasury bills have a maturity period of 91 days, 182 days or 364 days. Dated G-Secs come with a maturity period between 5 years to 40 years.
- Taxation & Benefits:** Interest earned on government bonds is taxable as per your income tax slab. Apart from this, if you have earned any short-term capital gains, then it is also taxed as per the slab rates. However, long-term capital gains are taxed at 10%.
- Risk Level:** Zero risk instruments
- Who Can Invest:** Suitable for risk-averse investors who want to earn guaranteed returns.
- Returns Offered:** You earn guaranteed returns on your investments.

## **Investment Options For Medium-Term**

Medium-term goals are those goals that are 3-5 years away, which can be saving for your wedding, a downpayment on a house, house renovation, etc. It includes investment options that can beat inflation by a decent margin with less volatility. Here are some of the best investment options in India for the short term:

## Investment Options For Medium-Term- National Savings Certificates (NSC)

[National Savings Certificate](#) or NSC is a post office savings product backed by the government of India. It works like a 5-year FD. It offers you guaranteed interest, but the entire amount is payable only at maturity.

- Availability:** You can invest in NSC through the post office only.
- Investment Amount:** The minimum investment amount is Rs 1,000, with no upper limit.
- Maturity:** It matures in 5 years.
- Taxation & Benefits:** Eligible for deduction under Section 80C upto Rs 1.5 lakh. Interest earned for 4 years is eligible for deduction, as it is reinvested; however, total interest earned at maturity is taxable as per your income slab.
- Risk Level:** Risk-free investment
- Who Can Invest:** Suitable for investors looking to earn government-guaranteed returns and tax savings.
- Returns Offered:** Offers guaranteed return of 7.7% compounded annually.

## Investment Options For Medium-Term- Post Office Time Deposit

Like banks, post offices also offer FDs. Known as National Savings Time Deposit, these investment options allow you to deposit your money for short-medium time periods. The advantage of National Savings Time Deposit is that they offer better returns than banks.

- Availability:** You can invest through your nearest post office.
- Investment Amount:** The minimum investment is Rs 1000, and there is no limit on the maximum amount.
- Maturity:** You can choose a maturity period from 1 year to a maximum of up to 5 years.
- Taxation & Benefits:** Five-year time deposit is eligible for deduction under Section 80C upto Rs 1.5 lakh. [Interest earned in Post Office FD](#) is taxable as per your income tax slab.
- Risk Level:** Low-risk investment
- Who Can Invest:** Suitable for risk-averse investors looking to earn guaranteed returns like bank fixed deposits.
- Returns Offered:** You can earn a return in between 6.9% and 7.5%, depending on your investment tenure.

## Investment Options For Medium-Term- Debt Funds for Medium Term

There are three [Debt Mutual Fund categories](#) that hit the sweet spot between risk and return for a medium-term goal. These three Debt Mutual Fund categories are Banking & PSU Funds, Corporate Bond Funds, and Short Duration Funds.

- Availability:** You can invest through the ET Money App or website. It offers you a hassle-free process with zero commission.
- Investment Amount:** You can invest through [Systematic Investment Plans](#) (SIP) or lumpsum mode. Most funds typically have a minimum investment starting at Rs 500 or even lower, with no maximum limit.
- Maturity:** Debt funds do not have a lock-in period, allowing you to redeem your investments anytime.
- Taxation & Benefits:** Long-Term Capital Gains (LTCG) and Short-Term Capital Gains (STCG) are subject to taxation as per your income slab.
- Risk Level:** Low to Medium Risk
- Who Can Invest:** Suitable for investors who want to preserve their capital and also want to earn higher returns than bank FDs.
- Returns Offered:** Offers market-linked returns.



## Investment Options For Medium-Term- Hybrid Funds

These [types of mutual funds](#) invest in more than one asset class. The most popular combination of asset classes these funds use is Equity and Debt. But some Hybrid Funds also invest in Gold or even Real estate. The advantage of these funds is that you can enjoy the growth potential of equity and the stability of debt in a single fund.

## Investment Options For Medium-Term- Hybrid Funds

- Availability:** You can [invest in hybrid funds](#) through ET Money. We offer you a hassle-free process, and you can directly invest with zero commission.
- Investment Amount:** Most funds typically have a minimum investment starting at Rs 500 or even lower, with no maximum limit.
- Maturity:** There is no mandatory lock-in period. You can redeem your investment anytime.
- Taxation & Benefits:** LTCG and STCG earned on the hybrid funds are taxable on the basis of their orientation.
  - In the case of debt-oriented hybrid funds, LTCG and STCG are taxable as per your slab rates.
  - In the case of equity-oriented hybrid funds, STCG is taxable at 20% plus cess, while LTCG is taxable at 12.5% plus cess if the total gain exceeds Rs 1.25 lakh.
- Risk Level:** Low to Medium Risk
- Who Can Invest:** Suitable for a wide range of investors, including beginners, those with medium-term goals, retirees seeking regular income, and individuals looking for asset allocation solutions.
- Returns Offered:** Offers market-linked returns.

## **Investment Options For Short-Term**

Short-term goals are those goals that are 1-3 years away, which can be saving for your vacations, buying a car, etc. It includes investment options that can minimise the risk to the capital invested and are easily accessible.

## Investment Options For Short-Term- Bank Fixed Deposits (FDs)

Fixed deposit is one of India's most popular investment options, offering guaranteed returns. The way FDs work is quite simple. You deposit your money in the bank, which assures you a certain return on your principal investment at the end of the tenure.

- Availability:** You can [invest in fixed deposits](#) through banks or NBFCs (Non-Non-Banking Financial Corporations ).
- Investment Amount:** The minimum investment amount varies from one bank to another. Generally, the minimum investment amount is between Rs 1,000 and Rs 5,000. However, there is no limit on the investment amount.
- Maturity:** You can choose the maturity period from 7 days to a maximum of upto 10 years.
- Taxation & Benefits:** Interest earned on the bank's [fixed deposits is taxable](#) as per the income slab.
- Risk Level:** Low-risk investment
- Who Can Invest:** Suitable for investors looking for a safe investment option with guaranteed returns.
- Returns Offered:** Guaranteed return between 6.5% and 7.5%

## Investment Options For Short-Term- Debt Funds For Short-Term

Debt funds are the type of mutual funds that invest in debt-related securities such as commercial paper, government bonds, corporate bonds, etc. These are very low-risk investment options and can quickly be easily converted into cash. [Liquid Funds](#), Ultra-Short Duration Funds, and Money Market Funds are the 3 Debt Fund categories that fit well in your short-term investment basket.

- Availability:** You can invest through the ET Money App or website. It offers you a hassle-free process with zero commission.
- Investment Amount:** You can invest via SIP or lumpsum mode. Generally, most funds' minimum investment amount starts at Rs 500 or even lower. However, there is no limit to the maximum amount.
- Maturity:** There is no lock-in period; you can redeem your investment anytime.
- Taxation & Benefits:** Any type of gains, LTCG or STCG, are taxable as per your income slab.
- Risk Level:** Low to Medium Risk
- Who Can Invest:** Suitable for investors who want to save money for emergencies.
- Returns Offered:** Offers market-linked returns.

## How To Find The Best Investment Plan?

Identifying the best investment plan that will help you to achieve your financial goals necessitates considerable analysis and research. Here are the steps to help you find the best investment plan:

- ❑ First, identify your financial needs and objectives.
- ❑ Second, estimate how long it will take to reach each goal.
- ❑ Third, identify how much risk you are willing to take.
- ❑ Fourth, explore different investment options and check the pros and cons of each option.
- ❑ Fifth, diversify your portfolio by spreading your money across different asset classes.
- ❑ Lastly, you should monitor and review your investments regularly.

Recap

## What are the Factors for choosing a Best Investment Plan?

Choosing the best investment plan in India requires careful consideration of multiple factors, including your financial goals, risk tolerance, investment horizon, and current financial situation. Here are some of the key factors to consider:

### Financial Goals

One of the most important factors to consider is your financial goals for which you are investing. It can be buying a car, children's education or marriage, buying a house, or [retirement planning](#). Based on the goal, you should select the investment option that helps you achieve that goal.



## **What are the Factors for choosing a Best Investment Plan?**

### **Risk Tolerance**

It refers to the risk you are willing to take while investing. Your risk-taking capacity determines which investment option is suitable for you. If you are willing to take a higher risk, you can choose to invest in market-linked investments, while if you do not want to take a higher risk, you can choose to invest in the government-guaranteed scheme.

### **Performance**

Before selecting the investment, you should also consider the past performance of the investment and compare it with the alternative investment options. For example, if you want to invest in mutual funds, you can check the past returns of the funds and compare them with the benchmark.

## **What are the Factors for choosing a Best Investment Plan?**

### **Lock-in Period**

Many investment options come with a mandatory lock-in period. It means you cannot redeem or withdraw your investment till the specified period expires. For example, in the case of ELSS funds, the lock-in period is 3 years, so you can not withdraw your investment before 3 years. You should also consider the lock-in period of investment and select one that fits your requirements.

## **What are the Factors for choosing a Best Investment Plan?**

### **Expense Related to Investment**

There are certain expenses attached to the investment, which can reduce your return, such as expense ratio, exit load, brokerage fees, management fees, etc. Hence, you should also consider these expenses.

Nevertheless, the price of gold usually rises when people look to invest in safe-haven assets amid a crisis. So they are a good hedge against inflation or equities.

## Which Is the Best Investment Option For You?

Until now, we have discussed the multiple investment avenues available to you, but how can you choose the best investment option for you?

The answer to this question varies from individual to individual, as everyone has their own set of goals and risk tolerance. Here are some of the investment options based on certain factors.

- ❑ You should assess your risk appetite. If you are a risk-averse investor, you can invest in low-risk investments like government bonds, fixed deposits, etc. However, if you are willing to take higher risk, then you can invest in stocks or aggressive mutual funds.

## Which Is the Best Investment Option For You?

- ☐ If you want to earn a market-linked return, then you can [invest in stocks](#), mutual funds, NPS, etc. And, if you want to earn regular income, then you can consider investments in bonds, corporate fixed deposits, or dividend-yielding stocks.
- ☐ If you want to avail tax benefits on your investments, then you can select from various investment options such as ELSS, NPS, PPF, SSY, SCSS, etc.
- ☐ Consider the financial goals that you want to achieve by investing and select the investment that best suits your requirements. For example, if you want to invest for long-term growth, then you can consider investing in a diversified [portfolio of stocks](#) or equity mutual funds.

## Which Is the Best Investment Option For You?

- ❑ SIP in mutual funds is popular if you want to invest regularly, say monthly. It allows you to build a good corpus in future by investing small amount regularly. You can select from various types of mutual funds, like Large Cap, Small cap, Mid Cap, and [Index funds](#), based on your risk profile and investment objective.
- ❑ Finally, the best investment fits your financial requirements and risk tolerance capacity.

## **Insurance:**

### Types of Insurance

- ☐ ULIP and Term
- ☐ Health and Disability Income Insurance
- ☐ Life Insurance

## Why Insurance?

There is no denying that you will have greater peace of mind if you know that you and your loved ones are financially secure from various unforeseen situations. Uncertainties in life could crop up at any moment, such as an unfortunate death or a medical emergency. These situations also include an accident or damage to your vehicle, property, etc.

Bearing the financial impact of these situations can burn a hole into your pocket. You may need to dip into your savings or your family's hard-earned money. Thus, there is a pressing need of insurance for you and your family for proper coverage and financial support against all risks linked to your life, health and property.



## Why Insurance is Important?

The importance of insurance should never be undermined. Insurance acts as a vital shield against unforeseen circumstances. It protects you from unplanned expenses and offers a financial cushion from accidents, illnesses and more. Insurance safeguards the financial interests of your family in your absence. It helps them cover immediate expenses and secures their long-term financial stability.

## Why is Insurance Important?

Below are some reasons why insurance is important:

- Provides Financial Stability
- The need for insurance cannot be stressed enough. Insurance provides financial stability to families and helps them cover expenses like education, loans, housing, groceries and more. It also ensures financial stability during unexpected situations and helps cover medical expenses, property damage and other similar costs.
- Promotes Personal Economic Growth
- Generates Long-Term Wealth
- Supports Families in Medical Emergencies

## Why is Insurance Important?

- Insurance acts as a catalyst for personal economic growth by empowering surviving family members to pursue their aspirations in the absence of the policyholder. It provides a safety net to ensure your loved ones have access to essential resources, such as education. Your loved ones can also use the insurance payout to improve their financial situation by investing in businesses, purchasing real estate and more.
- Life insurance plans like endowment, money-back or [Unit-Linked Insurance Plans](#) (ULIPs) provide a means to accumulate wealth over time. These policies offer long-term savings and investment opportunities and allow you to secure your financial future. Life insurance can be used for various financial goals like retirement, a child's higher education and others.

## Why is Insurance Important?

- The importance of insurance is particularly pronounced in today's times. Medical expenses are skyrocketing due to medical inflation and the increasing frequency of various illnesses<sup>1</sup>. Therefore, having a robust health insurance policy is essential at this time. Health insurance offers financial protection against medical costs. It provides an affordable solution by allowing you to buy policies with a high sum assured without straining your wallet. It also guarantees access to quality healthcare services in your hour of need.

## Need for Insurance

Insurance plans are beneficial to anyone looking to protect their family, assets/property and themselves from financial risk/losses:

- Insurance plans will help you pay for medical emergencies, hospitalisation, contraction of any illnesses and treatment, and medical care required in the future.
- The financial loss to the family due to the unfortunate death of the sole earner can be covered by insurance plans. The family can also repay any debts like home loans or other debts which the person insured may have incurred in his/her lifetime

## Need for Insurance

- Insurance plans will help your family maintain their standard of living in case you are not around in the future. This will help them cover the costs of running the household through the insurance lump sum payout. The insurance money will give your family some much-needed breathing space along with coverage for all expenditure in case of death/accident/medical emergency of the policyholder
- Insurance plans will help in protecting the future of your child in terms of his/her education. They will make sure that your children are financially secured while pursuing their dreams and ambitions without any compromises, even when you are not around

## Need for Insurance

- Many insurance plans come with savings and investment schemes along with regular coverage. These help in building wealth/savings for the future through regular investments. You pay premiums regularly and a portion of the same goes towards life coverage while the other portion goes towards either a savings plan or investment plan, whichever you choose based on your future goals and needs
- Insurance helps protect your home in the event of any unforeseen calamity or damage. Your home insurance plan will help you get coverage for damages to your home and pay for the cost of repairs or rebuilding, whichever is needed. If you have coverage for valuables and items inside the house, then you can purchase replacement items with the insurance money

## Need for Insurance

- Helps with long-term goals
- One of the most important benefits of life insurance is that it enables you to save and grow your money. You can use this amount to meet your long-term goals, like buying a house, starting a venture, saving for your child's education or wedding, and more
- Useful for retirement planning
- Life insurance can enable you to stay financially independent even during your retirement. Life insurance plans like annuity plans provide you with a fixed income for life. They are low-risk plans that help you maintain your current lifestyle, meet medical expenses and meet your post-retirement goals



## **Need for Insurance**

- Provides tax benefits
- Life insurance helps you plan for the future, while helping you save tax\* in the present. The premiums paid under the policy are allowed as tax\* deductions of up to ₹ 1.5 lakh per annum subject to conditions under Section 80C of The Income Tax Act, 1961. You can save up to ₹ 46,800/- in taxes\* every year. Further, the amounts received under the policy are also exempt\* subject to conditions under Section 10(10D) of the Income Tax Act, 1961.

## Types of Insurance

1. General Insurance

2. Life Insurance

## General Insurance

General insurance policies are one of the types of insurance that offer coverage in the form of sum assured against the losses incurred other than the death of the policyholder. Overall, general insurance comprises different types of insurance policy that offer financial protection against losses incurred due to liabilities such as bike, car, home, health, and similar. These various general insurance types of insurance policies include:

- Following are some of the types of general insurance available in India:
- Health Insurance
- Motor Insurance
- Home Insurance
- Fire Insurance
- Travel Insurance

## Health Insurance

Health insurances are types of insurance policy that covers the expenses incurred due to medical care. Health insurance plans either pay or reimburse the amount paid towards the treatment of any illness or injury. Different types of insurance policy cover varied medical care expenses.

It usually offers protection against:

- a) Hospitalization
- b) Treatment of critical illnesses
- c) Medical bills post hospitalization
- d) Daycare procedures

## Health Insurance

•There are a few types of health insurance plans also cover the cost of resident treatment and pre-hospitalization expenses. Rising costs of healthcare in India is making health insurance a necessity. Different types of health insurance plans available in India include,**1)**

**Individual Health Insurance:** Offers coverage to only an individual.

•**2) Family Floater Insurance:** Allows your entire family to get coverage under a single plan, which usually covers husband, wife, two children.

•**3) Critical Illness Cover:** Specialized types of health insurance that offers coverage against various life-threatening illnesses like stroke, heart attack, kidney failure, cancer, and similar others. Policyholders get a lump sum amount on diagnosis of a critical illness.

## Health Insurance

- 4) **Senior Citizen Health Insurance**: These types of insurance plans cater to all individuals above 60 years of age.
- 5) **Group Health Insurance**: Offered by an employer to its employee.
- 6) **Maternity Health Insurance**: This insurance type covers medical expenses for prenatal, post-natal, and delivery stage, offering protection to both the mother and the newborn.
- 7) **Personal Accident Insurance**: These types of insurance plans cover financial liabilities arising due to accidental injuries, disability, or death.

## Motor insurance

Motor insurances are types of insurance that offer financial assistance in case your bike or car get involved in an accident. Various types of Motor insurance policies in India include:

- 1) Car Insurance:** Individually owned four-wheelers are covered under this plan. The car insurance types include- third-party insurance and comprehensive cover policies.
- 2) Bike Insurance:** These are types of insurance policy where individually owned two-wheelers are covered against accidents.
- 3) Commercial Vehicle Insurance:** This is one of the insurance types, which offers coverage to any vehicle used for commercial purposes.

## Home Insurance

As the name suggests, a home insurance policy offers comprehensive protection to the contents and structure of your house against any physical destruction or damage. In other words, this insurance type will provide coverage against any natural and human-made calamity, such as fire, earthquake, tornado, burglaries, and robbery.

Different types of home insurance policies include:

- 1) Home Structure/Building Insurance** – Protects the structure of the house against damage during any calamity.
- 2) Public Liability Coverage** – Provides coverage against any damage to a guest or third-party on the insured residential property.
- 3) Standard Fire and Special Perils Policy** – Coverage against damages caused due to fire outbreaks, natural calamities (e.g., landslides, rockslides, earthquakes, storms, and floods), and anti-social human-made activities (e.g., explosions, strikes, and riots).



## Home Insurance

- 4) Personal Accident** – Provides financial coverage to you and your family against any kind of permanent dismemberment or sudden demise to the insured individual, anywhere around the world.
- 5) Burglary and Theft Insurance** – Provides compensation for stolen goods in case of a burglary or theft.
- 6) Contents Insurance** – Provides compensation for loss of furniture, vehicles, and other appliances in case of a fire, theft, flood, or riots.
- 7) Tenants' Insurance** – Provides financial protection to you (as a tenant) against any loss of personal property living in a rented house.
- 8) Landlords' insurance** – Provides coverage to you (as a landlord) against contingencies such as public liability and loss of rent.

## Fire Insurance

Fire insurance policies are different types of insurance coverages that compensate any losses incurred due to a fire breakout with a sum assured. These types of insurance policy usually provide a significant amount of coverage to help both individuals and companies to reopen their places after incurring extensive damage due to fire. These insurance types cover war risk, turmoil, riots losses as well.

- 1) Valued policy
- 2) Specific Policy
- 3) Floating Policy
- 4) Consequential Policy
- 5) Replacement Policy
- 6) Comprehensive Fire insurance policy

## **Travel Insurance**

As the name suggests, travel insurance is a type of insurance policy, providing financial protection for you and your loved ones while you are visiting any place in India or abroad. Whether you are travelling solo or with your loved ones, the travel insurance coverage will help ensure that you have a peaceful journey.

The travel insurance policy coverage takes care of any issues that you may face during your trip such as loss of baggage, flight cancellations, loss of passport, personal and medical emergencies.

## Travel Insurance

Different types of travel insurance policies include:

- 1) Domestic Travel Insurance: Within the country
- 2) International Travel Insurance: For any trips or vacations outside of India
- 3) Individual Travel Insurance: If you are travelling alone
- 4) Student Travel Insurance: If you are going abroad for further studies
- 5) Senior Citizen Travel Insurance: For senior citizens, ageing between 60 to 70 years
- 6) Family Travel Insurance: For any family vacations

## Life Insurance

Life insurance plans offer coverage against unfortunate events like death or disability of the policyholder. Besides financial protection, there are various types of life insurance policies that allow the policyholders to maximize their savings through regular contributions into different equity and debt fund options.

You can choose a life insurance policy to secure your family's financial future against life's uncertainties. The policy coverage comprises of a large amount, which is payable to your loved ones if anything happens to you. With this insurance type, you have the flexibility to choose the life insurance policy period, coverage amount, and payout option based on the financial requirements

## Life Insurance

Different types of life insurance policy are as follows:

- Term Life Insurance
- Whole Life Insurance
- Endowment Plans
- Unit-Linked Insurance Plans
- Child Plans
- Pension Plans

## **Term Life Insurance Plans**

- Term insurance is the purest and most affordable among the types of insurance policy in which, you can opt for a high life cover for a specific period. You can secure your family's financial future with a term life insurance plan by paying a low premium (term insurance plans generally do not have any maturity value, and thus, offer lower rates of premium than other life insurance products.)
- If anything happens to you within the policy period, your loved ones would receive the agreed Sum Assured as per the payout option chosen (some term insurance types offer multiple payout options as well)

## Whole Life Insurance Plans

- Whole life insurance plans, also known as 'traditional' life insurance plans, provide coverage for the entire life of the insured individual, as opposed to any other life insurance instrument that offers coverage for a specific number of years.
- While a whole life insurance plan offers to pay a death benefit, the plan also contains a savings component, which helps accrue a cash value throughout the policy term. The maturity age for whole life insurance policy is 100 years. In case, the insured individual lives past the maturity age, the whole life plan will become matured endowment.



## Endowment Plans

Endowment plans essentially provide financial coverage to the policyholder against life's uncertainties, while allowing them to save regularly over a certain period. Upon maturity of the endowment plan, the policyholder receives a lump sum amount if he or she survives the policy term. If anything happens to you (as Life Insured), the life insurance endowment policy pays the complete Sum Assured to your family (beneficiaries)

## Unit-Linked Insurance Plan (ULIP)

Unit Linked Insurance Plans are types of insurance policy that offer both investment and insurance benefits under a single policy contract. A portion of the premium that you pay towards a [Unit Linked Insurance Plan](#) is allocated to a variety of market-linked equity and debt instruments. The remaining premium contributes towards providing the life cover throughout the policy tenure. In this investment-cum-insurance type product, you have the flexibility to choose the allocation of premium into different instruments as per your financial requirements and market risk appetite.

## **Child Plans**

Child plans are types of insurance policy that helps you financially secure your child's life goals such as higher education and marriage, even in your absence. In other words, child plans offer a combination of savings and insurance benefits that aid you in the financial planning for your child's future needs at the right age. The sum of money received on Maturity under this insurance type can be used to fulfill the financial requirements of your child.

## Pension Plans

[Pension plan](#) , also known as retirement plan, is a type of investment plan that aids you in accumulating a portion of your savings over an extended period. Essentially, a pension plan helps you deal with financial uncertainties post-retirement, by ensuring that you continue to receive a steady flow of income even after your working years are over.

In other words, a pension plan can be a type of insurance in India that allows you to create a financial cushion for your life post-retirement, in which you contribute a specific amount of money regularly until your retirement. Subsequently, the accumulated amount is given back to you as annuity or pension at regular intervals.

As more and more Indians include purchase of various life insurance policies into their overall financial strategy, the ownership of life insurance in India has risen.

## Tax Benefits of Various Types of Insurance in India

Amount paid toward premium for different types of life insurance plans is tax-deductible

- Under Section 80C of Income Tax Act, 1961, the premium payable towards all types of life insurance plans is tax-deductible up to Rs 1.5 lakh.
- Under Section 80D of Income Tax Act, 1961, the premium payable towards all types of health insurance plans is tax-deductible, subject to a maximum of Rs 25,000 for self, wife and children and additional 25,000 for parents having age below 60 years (the tax savings can go up to Rs 50,000 for senior citizens individual and 50000 if parents are senior citizens. Total deduction can go up to 1Lakh).

## **Factors Defining Your Life Insurance Coverage**

Although Life insurance coverage and its premiums depend upon various factors, but some important ones are:

- ☐ Age of the policyholder
- ☐ Health conditions – both current and history
- ☐ Occupation
- ☐ Smoking and drinking habits
- ☐ Type of insurance policy
- ☐ Claim history
- ☐ Location

## Loans:

- ☐ Home
- ☐ Car
- ☐ Education
- ☐ Personal
- ☐ Loan against property
- ☐ Jewel loan

## **Loans – Meaning, How They Work, Types, and Features**



We may not always have the money we require to do certain things or to buy certain things. In such situations, individuals and businesses/firms/institutions go for the option of borrowing money from lenders.

When a lender gives money to an individual or entity with a certain guarantee or based on trust that the recipient will repay the borrowed money with certain added benefits, such as an interest rate, the process is called lending or taking a loan.

A loan has three components – principal or the borrowed amount, rate of interest and tenure or duration for which the loan is availed.

Most of us prefer borrowing money from a bank or a trusted non-banking financing company (NBFC) as they are bound to the government policies and are trustworthy. Lending is one of the primary financial products of any bank or NBFC (Non-Banking Financial Company) offers.

## **Types of Loans- Based on the Security Provided**

### **Secured Loans**

These loans require the borrower to pledge collateral for the money being borrowed. In case the borrower is unable to repay the loan, the bank reserves the right to Utilise the pledged collateral to recover the pending payment. The interest rate for such loans is much lower as compared to unsecured loans.

### **Unsecured Loans**

Unsecured loans are those that do not require any collateral for loan disbursement. The bank analyses the past relationship with the borrower, the credit score, and other factors to determine whether the loan should be given or not. The interest rate for such loans can be higher as there is no way to recover the loan amount if the borrower defaults.

## Types of Loans - Based on the Purpose

### Education Loan

Education loans are financing instruments that aid the borrower pursue education. The course can either be an undergraduate degree, a postgraduate degree, or any other diploma/certification course from a reputed institution/university. You must have the admission pass provided by the institution to get the financing. The financing is available both for domestic and international courses.

### Personal Loan

Whenever there is a liquidity issue, you can go for a personal loan. The purpose of taking a personal loan can be anything from repaying an old debt, going on vacation, funding for the downpayment of a house/car, and medical emergency to purchasing big-ticket furniture or gadgets. Personal loans are offered based on the applicant's past relationship with the lender and credit score.

## Types of Loans - Based on the Purpose

### Vehicle Loan

Vehicle loans finance the purchase of two-wheeler and four-wheeler vehicles. Further, the four-wheeled vehicle can be a new one or a used one. Based on the on-road price of the vehicle, the loan amount will be determined by the lender. You may have to get ready with a downpayment to get the vehicle as the loan rarely provides 100% financing. The vehicle will be owned by the lender until full repayment is made.

### Home Loan

Home loans are dedicated to receiving funds in order to purchase a house/flat, construct a house, renovate/repair an existing house, or purchase a plot for the construction of a house/flats. In this case, the property will be held by the lender and the ownership will be transferred to the rightful owner upon completion of repayments.

## Types of Loans - Based on the Pledged Assets

### Gold Loan

Many financiers and lenders offer cash when the borrower pledges physical gold, may it be jewellery or gold bars/coins. The lender weighs the gold and calculates the amount offered based on several checks of purity and other things. The money can be utilised for any purpose.

The loan must be repaid in monthly instalments so the loan can be cleared by the end of the tenure and the gold can be taken back to custody by the borrower. If the borrower fails to make the repayments on time, the lender reserves the right to take over the gold to recover the losses.

## Types of Loans - Based on the Pledged Assets

### Loan Against Assets

Similar to pledging gold, individuals and businesses pledge property, insurance policies, FD certificates, mutual funds, shares, bonds, and other assets in order to borrow money. Based on the value of the pledged assets, the lender will offer a loan with some margin at hand.

The borrower needs to make repayments on time so that he/she can get custody of the pledged assets at the end of the tenure. Failing to do so, the lender can sell the assets to recover the defaulted money.

## Important Factors Lenders Look at to Approve your Application

### •Credit Score

Credit score plays an important role in deciding whether the lender would like to go ahead with your application or drop it off at the initial stage. This is especially the case when it comes to unsecured loans.

Since a credit score represents the credit history of the borrower, the lender analyses the repayment history of the borrower and concludes whether the borrower can repay on time or will he default on payments. The loan approval is based on the lender's judgement after the necessary analysis.



## Important Factors Lenders Look at to Approve your Application

### •Income and Employment History

Your monthly or annual income and employment history plays a crucial role in loan approval as well. Based on your income and income stability in the form of consistent and stable work history, the lender may or may not get convinced that you will be able to repay the loan.

Even if you are self-employed, the lender assumes that your business is running well for the past few years and your business's turnover is satisfactory.

## Important Factors Lenders Look at to Approve your Application

- **Debt-to-Income Ratio**

Not just having a good income, your debt-to-income ratio is also important. In case you have an income of Rs.1 lakh per month and if your debt repayment commitments exceed Rs.75,000 already, a new loan will not be provided to you as you will need the remaining income to take care of your domestic expenses.

Therefore, irrespective of your income, you must have a low debt-to-income ratio so the lenders can think that you have enough cash at hand every month to make the repayments as well as handle the family expenses.

## Important Factors Lenders Look at to Approve your Application

### •Collateral

Based on the collateral you provide and its current market value, the lender may decide on the interest rate applicable to your loan. Providing collateral will make the deal more secure from the lender's perspective, which may result in more trust and less interest rate. An unsecured loan is infamous as it includes a higher interest rate comparatively.

### •Down Payment

The money you have saved and the effective execution of your saving plan towards a down payment will increase the lender's trust in you. The higher the down payment, the lower is the loan amount requirement.

## Features and Benefits of Loans

- There are several types of loans categorised based on various factors.
- You can choose the type of loan you wish to take based on your requirement and eligibility.
- The lender will be the ultimate power to decide the loan amount they wish to offer to you based on several factors, such as repayment capacity, income, and others.
- A repayment tenure and interest rate will be associated with every loan.
- The bank may apply several fees and charges to every loan.
- Many lenders provide instant loans that take a few minutes to few hours to get disbursed.

## **Features and Benefits of Loans**

- The interest rate is determined by the lender based on the Reserve Bank of India's guidance.
- The lender determines the requirement for security.
- A third-party guarantee can be used instead of security in some cases.
- The loan repayments must be made in equated monthly instalments over the pre-determined loan tenure.
- There may or may not be the option for full/part prepayment.
- Some loan types and lenders may levy a penalty for prepayment of loans.

## Eligibility for Loan

The eligibility criteria to get a loan varies based on the type of loan you are looking for. Generally speaking, you may consider the following simple criteria to check your eligibility.

- A decent credit score
- Constant income flow
- Age between 23 years and 60 years at the time of entry
- A few assets such as FDs, investments, immovable property, etc.
- A good relationship with your bank
- A timely debt repayment history

## Documents Required

### Salaried Applicants

- Application form with photograph
- Identity and address proof
- Last 6 months' bank account statement
- Latest Salary Slip
- Form 16

## Documents Required

### Self-Employed Applicants

- Application form with photograph
- Identity and address proof
- Last 6 months' bank account statement
- Proof of business
- Business profile
- Income Tax returns (self and business) for the last three years
- Profit/loss statements and balance sheets of the last three years



## Loan EMI Calculator

A [Loan EMI Calculator](#) is a handy tool to calculate the monthly amount payable to the lender as well as the total interest. To calculate the EMI applicable to your loan amount, all you need to do is enter the values for principal Amount (P), Time duration (N), and Rate of interest (R).

# **How To Calculate Home Loan EMI**

An equated monthly installment, referred to as EMI, is a necessary part of availing a home loan or any other loans, but it can be tad difficult to estimate how much you can actually afford. A home loan EMI calculator can help borrowers estimate their monthly payments based on the price of the house, down payment, interest rate, loan tenure, and other expenses.

## How Do Banks Calculate Home Loan Amount

A series of calculations takes place before banks decide on how much home loan an applicant can borrow, depending on factors including:

**EMI/NMI ratio:** Lenders determine the loan eligibility amount post deduction of income tax on the monthly salary and the remaining net monthly income (NMI). In other words, it is the maximum home loan amount an applicant can borrow based on their NMI minus the existing loan amount.

**Loan-to-value (LTV) ratio:** The LTV ratio is calculated after evaluating the value of the house and the maximum loan amount an applicant gets. Lenders generally pay 75% to 90% of the cost of the property, and the remaining amount has to be paid by the applicant on an up-front basis, also known as the down payment.

For example, if the value of the house is INR 30 lakh and the bank's LTV ratio is 75%, the maximum loan amount the applicant gets is 75% of INR 30 lakh = INR 22.5 lakh.

Most lenders have put a cap on the maximum limit on the EMI/NMI ratio. For instance, the State bank of India has put a cap on the limits for EMI/NMI ratio, as follows:

20% – Up to INR 60,000

25% – INR 60,000 to INR 1.20 lakh

30% – INR 1.20 lakh to INR 2 lakh

50% – INR 2 lakh to INR 5 lakh

55% – INR 5 lakh to INR 10 lakh

65% – Above INR 10 lakh.

**Note:** This percentage can be increased by adding a co-applicant while applying for a home loan.

Let's learn how to calculate the EMI/NMI ratio with an example. If the applicant's net monthly income is INR 75,000 post tax deduction, and the bank is offering 25% EMI/NMI ratio on that income slab, the maximum EMI amount he/she can opt for is  $25\% \text{ of INR } 75,000 = \text{INR } 18,750$ .

However, if an applicant already has INR 5,000 existing EMI for other loans, then the maximum EMI amount he can opt further is  $\text{INR } 18,750 - \text{INR } 5,000 = \text{INR } 12,750$

## Formula To Calculate Home Loan EMI

Once the applicant has figured out how much loan can be borrowed based on the EMI/NMI factor, as explained above, then EMI, which refers to equated monthly installment, plays a crucial role. EMI is a repayment of the principal amount plus the interest amount on the outstanding home loan. Let's understand the EMI calculation with an example:

If a person gets a home loan of INR 10 lakh at an annual interest rate of 7.2% for a tenure of 10 years (30 years is the maximum tenor for home loan), then the EMI will be calculated using the following formula:

$$P \times R \times (1+R)^N / [(1+R)^N - 1]$$

P: Principal loan amount = INR 10,000,00

N: Loan tenure in months = 120 months

R: Interest rate per month  $[7.2/12/100] = 0.006$

EMI=  $\text{INR } 10,00,000 * 0.006 * (1 + 0.006)^{120} / ((1 + 0.006)^{120} - 1) = \text{INR } 11,714.$

## **How EMI Calculation Helps to Repay Home Loan?**

When you learn to calculate the EMI on your own, it helps you make pre-informed decisions whether or not you want to apply for a home loan on the basis of your current personal finance. It helps an applicant to calculate the monthly outflow of funds that goes towards the housing loan as well as the down payment required to purchase your dream house. Therefore, knowing the method of calculating EMI is crucial to know your home loan eligibility, and hence avoid unnecessary expenses that go into planning to buy or build a house.



## **How do Banks Calculate Interest Rate on EMI?**

Lenders, finance or banking institutions usually charge floating rate of interest rates on home loans, though fixed rate is also available.

A fixed rate of interest on loans is fixed for the overall tenure of the loan while floating rate is calculated as per the “base rate” (standard lending rate of the bank), or the lender’s repo-linked loan rate (RLLR) or marginal cost of fund-based lending rate (MCLR), plus the spread (difference in interest rates that a bank pays to a depositor and receives from loan borrowed to a customer).

## How do Banks Calculate Interest Rate on EMI?

The RoI on the floating rate on home loans for every bank changes as per the [RBI's change in repo rate](#). In the floating rate, the change is, however, reflected after the “reset period” when the interest rate on your EMI is subjected to revisions. Here are the major difference between fixed rate and floating rate of interest:

| Fixed Rate of Interest                                                                   | Floating Rate of Interest                                                           |
|------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Fixed rate of interest for the entire term or part of the loan term.                     | Interest rates move up or down as per banks and the change in RBI's policy rate.    |
| Interest rate is higher.                                                                 | Interest rate is lower than fixed rate.                                             |
| The prepayment penalty is higher.<br>Offer lower chances of paying less when rates fall. | Usually, there's no prepayment penalty.<br><br>The rate is linked to the repo rate. |

## **Interest Rate Charged by Banks on Home Loan EMI**

Public and private sector banks provide home loans upon a certain rate of interest (ROI) on equated monthly installment (EMI). One's income, credit history, value of the property, EMI/NMI ratio plays a vital role in getting an attractive ROI on the borrowed sum.

The policy repo rate hike by the Reserve Bank of India (RBI) has led many banks to increase their interest rate on home loans. Currently the interest rate on home loans starts from 8.45% onwards.

Remember, women borrowers are offered up to 0.50 bps lower rate of interest on the borrowed sum.